

25STCV31696 25STCV31696

County: los-angeles

Division: Civil Law and Motion

Department: 407

Hearing date: 2026-08-31

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C407%2C08%2F31%2F2026

Source SHA-256: f070d3702b989ef107d81b7f4e0cf499fb36470a8087675d7cea23869c3a238d

Case Number: 25STCV31696 Hearing Date: August 31, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: August

31, 2026 TRIAL DATE: February 14, 2028

CASE: Spark Speed Group, Inc. v. General Motors, LLC

CASE NO.: 25STCV31696

GENERAL

MOTORS LLC'S MOTION FOR SUMMARY JUDGMENT, OR ALTERNATIVELY, SUMMARY
ADJUDICATION

MOVING PARTY: Defendant

General

Motors, LLC

RESPONDING PARTY: Plaintiff Spark

Speed Group, Inc.

In August 2024, plaintiff Spark Speed Group, Inc.

("Plaintiff") purchased a 2024 GMC Yukon XL (the "Vehicle"). The Vehicle presented with defects. After defendant General Motors, LLC ("GM" or

"Defendant"), the manufacturer of the Vehicle, failed to conform the Vehicle to
express warranties, Plaintiff commenced this action.

I. BACKGROUND

On October 31, 2025, Plaintiff filed a Complaint against Defendant asserting causes of action for (1) violations of the Song-Beverly Consumer Warranty Act, (2) breach of the implied warranty of merchantability, (3) negligent misrepresentation, (4) violation of Business and Professions Code § 17200, (5) strict liability, (6) breach of the implied warranty of fitness, (7) breach of contract, (8) negligence, and (9) negligence per se.[1]

On May 26, 2026, Defendant filed this motion for summary judgment, or alternatively, summary adjudication.

On August 11, 2026, Plaintiff filed an opposition.

On August 20, 2026, Defendant filed a reply.

II. EVIDENTIARY OBJECTIONS

Plaintiff submits twenty-two objections to Defendant's Separate Statement.

The objections are OVERRULED.

III. LEGAL STANDARD

The function of a motion for summary judgment or summary adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure section 437c(c) "requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.) "The function of the pleadings in a motion for summary judgment is to delimit the scope of the issues; the function of the affidavits or declarations is to disclose whether there is any triable issue of

fact within the issues delimited by the pleadings.” (Juge v. County of Sacramento (1993) 12 Cal.App.4th 59, 67, citing FPI Development, Inc. v. Nakashima (1991) 231 Cal.App.3d 367, 381-382.))

“On a motion for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact.” (Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519.) A defendant moving for summary judgment or summary adjudication “has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(2).) “Once the defendant . . . has met that burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Id.) “If the plaintiff cannot do so, summary judgment should be granted.” (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal.App.4th 463, 467.))

“When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment.” (Avivi, 159 Cal.App.4th at p. 467; Code Civ. Proc., § 437c, subd. (c).))

IV. DISCUSSION

For the reasons stated herein, the court concludes that Defendant is entitled to summary judgment as a matter of law.

A. The 1st, 2nd, 5th, 6th, and 7th Causes of Action

The first, second, fifth, and sixth causes of action are based on violations of the Song-Beverly Act (hereafter, the “Song-Beverly Claims”).[2] The seventh cause of action of breach of contract is based on Defendant’s purported violations of the Song-Beverly Act.

Defendant argues the Song-Beverly Claims fail because Defendant is

not an individual within the meaning of the Song-Beverly Act and does not qualify for the business vehicle exception under Civil Code section 1791.1. The argument is meritorious.

The Song-Beverly Act protects “buyers” and “consumers.” These terms are defined as “any individual who buys consumer goods from a person engaged in the business of manufacturing, distributing, or selling consumer goods at retail.” (Civ. Code, § 1791, subds. (a), (b).) Case law has interpreted the term “individual” to unambiguously exclude corporations or other business entities. (See *Park City Services, Inc. v. Ford Motor Co.* (2006) 144 Cal.App.4th 295, 304 (*Park City Services*) [Civil Code section 1791(b) “is unambiguous: it is limited to individuals, in contrast to corporations or other business entities”]; accord *Towns v. Hyundai Motor America* (2025) 117 Cal.App.5th 958, 967-969.) California law recognizes only one exception. Under Civil Code section 1793.22(e), the Song-Beverly Act extends to new motor vehicles used for business purposes-but only if “not more than five motor vehicles are registered in this state” to the person, partnerships, corporation, or any other legal entity. For this reason, the Court of Appeal stated in *Park City Services*, “even though ‘buyer’ is still defined as an individual purchaser of goods for personal use, it must be deemed to include some corporate purchasers of new motor vehicles for business use—namely, those to whom ‘not more than five motor vehicles are registered in this state.’” (*Park City Services*, 144 Cal.App.4th at p. 306, *italics in original*.)

Here, the Complaint alleges that Plaintiff is a corporation which purchased the Vehicle for business purposes. (Complaint, ¶¶ 1, 9.) These facts are undisputed. Further, GM submits the testimony of Plaintiff’s person most qualified, Mushegh Harutyunyan, who unequivocally testified that Plaintiff is engaged in the transportation business and has nine vehicles registered in the state of California. (GM’s Separate Statement of Undisputed Material Facts (UMF) Nos. 8, 14; Harutyunyan Depo., pp. 11:3-7, 12:3-5 | 18:2-5, 18:19.) GM establishes that Plaintiff is a corporation that does not qualify for the business-vehicle exception under Civil Code section 1793.22(e).

In opposition, Plaintiff does not meaningfully dispute this evidence. Plaintiff argues Mr. Harutyunyan’s testimony is ambiguous because it is not clear whether Mr. Harutyunyan was stating the number of vehicles he personally possessed or the number of vehicles that

Plaintiff had registered in California.

The argument does not square with the deposition transcript. Defense counsel's question was clear, and Mr. Harutyunyan's answer was unequivocal.

Plaintiff does not show there is a triable issue on the viability of its Song-Beverly Claims. Because the Song-Beverly Claims fail, so too does the seventh cause of action for breach of contract.[3]

B. The 3rd, 5th and 8th Causes of Action

The third

cause of action for negligent misrepresentation is predicated on the allegation that GM, "by and through its authorized dealership facilities," represented that the Vehicle "was in a good, working condition fit for merchantability and its intended purpose" and that GM represented that defects "had been fixed" after repair. (Complaint, ¶¶ 67, 71.) The fifth cause of action for strict products liability is predicated on alleged manufacturing defects in the Vehicle. (Complaint, ¶¶ 84-89.) The eighth causes of action for negligence is

based on the allegations that GM was negligent in its manufacturing of the Vehicle and effectuating repairs to the Vehicle. (Complaint, 110-111.)

GM argues

the these causes of action fails because, among other reasons, it is barred by the economic loss rule. The argument is dispositive. "In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922.) "California Courts define economic loss as 'damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits—without any claim of personal injury or damages to other property.'" (Department of Water & Power v. ABB Power T & D Co. (C.D.Cal. 1995) 902 F.Supp. 1178, 1186, fn. 4.)

Here, Plaintiff's claimed damages on the third cause of action are restitution of the purchase price, continuing payments on the corporate bank loan, and other economic damage arising from the Vehicle's alleged defects. (Complaint, ¶ 75.) Plaintiff's claim damages on the fifth cause of action (Complaint, ¶¶ 87, 89) and eighth cause of action (Complaint, ¶ 112) are also purely economic. On its

face, the third, fifth, and eighth causes of action are barred by the economic loss rule. Plaintiff does not address this argument as to the third and fifth causes of action and therefore concedes the point.

As to the eighth cause of action, Plaintiff argues the economic loss rule does not apply because "GM breached its independent duty to exercise reasonable care in the manufacture and repair of the Subject Vehicle, separate and apart from its contractual warranty obligations. This includes GM's duty to comply with applicable safety regulations and its duty to warn of known defects." (Opp., p. 11:6-9.) The arguments lack merit. The economic loss rule bars claims arising from contract and which are accompanied by purely economic loss. There is no alleged physical or property damages resulting from the purported manufacturing defect. The eighth cause of action is likewise barred by the economic loss rule.

C. The 4th Cause of Action for Violation of Business and Professions Code § 17200

The fourth cause of action for violation of the Unfair Competition Law (UCL) is based on GM's alleged Song-Beverly violations. Because the Song-Beverly Claims fail for the reasons discussed above, the UCL claim likewise fails. To the extent Plaintiff relies on the "unfair" or "fraudulent" prongs of the UCL, that reliance is misplaced. Based on the evidentiary record before the court, Mr. Harutyunyan admitted that every repair was warranty-covered, that Plaintiff paid nothing out of pocket, and that the Vehicle is operable today. (UMF Nos. 19, 20.) Plaintiff does not address this argument and therefore concedes the point.

D. The 9th Cause of Action for Negligence Per Se

There is no dispute that GM is entitled to summary judgment of the ninth cause of action. (See Opp., p. 11:12-20.)

V. CONCLUSION

Based on the foregoing, the motion for summary judgment is GRANTED.

Moving party to give notice, unless waived.

Dated: August 31,
2026

Brock T. Hammond

Judge of the Superior Court

[1] The caption of the Complaint identifies ten causes of action. The sixth cause of action is listed as a products liability claim. That claim, however, is not alleged in the body of the Complaint. Accordingly, the court need not and does not address any arguments regarding products liability.

[2] The fifth cause of action for strict products liability seeks remedies under the Song-Beverly Act. For this reason, the court addresses the fifth cause of action here and additionally, in Section IV.(B) of this ruling.

[3] Having so concluded, the court does not address the GM's additional grounds for summary judgment of these causes of action.